

Benefits of savings solutions from mutual funds:

- **Make Inflation work in your favour:** Inflation affects your returns from any investment including mutual funds. But, in case of savings solutions, you can use it to your advantage – through indexation – which can help you reduce the amount on which you have to pay tax. You can benefit from indexation, if investing for more than 1 year. Please consult your tax advisor on how to take advantage of indexation.
- **Aim to preserve your money:** These schemes generally invest in instruments like bonds of reputed Indian companies and securities (bonds) issued by the government of India which are considered relatively safe.
- **Aim to provide Liquidity:** If you need to withdraw your money, all you have to do is submit a redemption slip and your money is normally credited to your bank account within one working day. You may also opt for an online redemption facility offered by many fund houses for added convenience.
- **Tax-efficient returns:** You can earn returns in the form of monthly / quarterly dividends which are completely tax-free in your hands.
A dividend distribution tax of 14.1625% is applicable and is deducted by the fund house.

There are various savings solutions available depending on the time period that you would like to invest for:

- a. 1 day to 3 months
- b. 3 to 6 months
- c. 6 months to 1 year
- d. 1 year +

The Financial Solution (Savings Solution) stated above is ONLY for highlighting the many advantages perceived from investments in Mutual Funds but does not in any manner, indicate or imply, either the quality of any particular Scheme or guarantee any specific performance/returns.